- The Twelfth Finance Commission has provided the states greater financial leverage by allowing market borrowings for their plan development.
- The implementation of the VAT has opened better prospects for tax collections by the states—to be boosted once the GST (goods and services tax) gets implemented.
- The Eleventh Plan has made it compulsory for the states to make their PRIs a working entity for fund devolution for the development of local areas.
- Providing gainful employment to the labour force over the plan period.

Q. 19 Write a note on the situation and importance of the Private Remittances for India.

Ans. As per the report of UNDP, by end-2010, Indians were the second biggest diaspora, estimated at 25 million and among the largest 'sending' nations in Asia. Not only now, the 'private remittances' (PRs) of India was of crucial importance in the former decades after the Independence. Since then, it has gone swelling every year, with a major jolt to it in the early 1990s due to the Gulf war. As the Gulf became less attractive, the rise of the IT industries saw a major acceleration in PRs with Indian expatriates joining this emerging labour force is a big way.

As per the laterst data provided by the IMF/WB in 2013, India received the highest PRs in the world totalling to $57 billion (China being 2nd at $53). Its importance for India could be seen as given below:

(i) The value of the PRs today stands at one sixth of its total foreign exchange reserves.

(ii) India is able to promote and Sustain its huge current account deficit (2.5 per cent of GDP, now) with comfort.

(iii) Indian diaspora not only plays a vital monetary role for India, but they gave a relative edge to Indian diplomacy too.

(iv) They play a major role in India's emerging economic diplomacy. Looking at their importance, the GoI in recent years has become